MODULE 24 · DOMAIN 2 - PROCESS

Procurement strategy and contract types

Make or buy, procurement documents, the contract types and who carries the risk in each, incentive calculations, and fair source selection.

DOMAIN II - Process EXAM WEIGHT 41% MODULE 24 of 49

admin@sthithapragna.com

Every contract type answers one question:
who carries the cost risk?

The procurement cycle

01

Plan

Make or buy; strategy; contract type; documents.

02

Conduct

Invite, evaluate and select sellers; award.

03

Control

Manage the relationship and performance; handle changes.

04

Close

Verify completion; settle; archive; lessons.

ON THE EXAM

In PMBOK 8, procurement detail moved to an appendix. On the exam it is still a full task with ten enablers.

Make or buy

- **Capability**: do we have the skills and capacity, now?
- **Cost**: full cost of each option, including management, support and ongoing costs.
- **Control and intellectual property**: do we need to own and control this?
- **Strategy and risk**: is it core to the business? Which option carries less risk?
- Buying what is not core, and building what differentiates you, is a common pattern.

> ON THE EXAM
>
> Compare full costs and strategic fit, not just the headline price.

Procurement strategy and the delivery solution

- **Delivery method**: design then build, design-and-build together, or a turnkey solution.
- **Contract payment type**: fixed price, cost-reimbursable, or time and materials.
- **Phasing**: one contract, or stages with break points and decisions.
- The outline asks you to **plan and manage the procurement strategy** and **develop a delivery solution**.

> ON THE EXAM
>
> The strategy decides how the work will be bought. The contract type decides who carries the risk.

Procurement documents

DOCUMENT	USED WHEN
Request for information (RFI)	You want to learn what the market can offer before specifying
Request for quotation (RFQ)	The need is clearly defined; price is the main decision factor
Request for proposal (RFP)	The solution is complex; you want sellers to propose an approach
Procurement statement of work	Describes the work in enough detail for sellers to respond
Source selection criteria	How proposals will be evaluated and weighted

ON THE EXAM

Exactly defined, price matters: RFQ. Complex, approach matters: RFP. Exploring the market: RFI.

Fixed price or cost-reimbursable?

FIXED PRICE

Seller carries the cost risk

- Scope must be well defined
- Buyer knows the price in advance
- Seller may add risk premium
- Changes need formal agreement

COST-REIMBURSABLE

Buyer carries the cost risk

- Scope can be uncertain
- Buyer pays actual costs plus a fee
- Buyer must monitor costs closely
- Flexible when requirements evolve

THE TIEBREAKER

Clear scope: fixed price. Uncertain scope: cost-reimbursable. Neither is better in general.

Contract types and where the risk sits

TYPE	HOW PAYMENT WORKS	BUYER'S COST RISK
Firm fixed price (FFP)	One set price, defined scope	Lowest
Fixed price incentive fee (FPIF)	Target price, incentive, ceiling	Low
FP with economic price adjustment	Fixed price, indexed for inflation	Low; long contracts
Time and materials (T&M)	Rates for time; materials at cost	Medium; needs a cap
Cost plus incentive fee (CPIF)	Costs plus a shared-saving fee	High, but shared
Cost plus fixed fee (CPFF)	Costs plus a fixed fee	High
Cost plus award fee (CPAF)	Costs plus a judged award	Highest

ON THE EXAM

Top to bottom, cost risk moves from the seller to the buyer.

Choosing the contract type

- Scope **well defined**, buyer wants **cost certainty**: firm fixed price.
- Scope **uncertain**, such as research: cost-reimbursable, often with an incentive.
- **Urgent**, small, or adding people to a team: time and materials, with a not-to-exceed cap.
- **Multi-year** contract exposed to inflation: fixed price with economic price adjustment.
- Want the seller to **control costs**? Add an incentive fee.

> ON THE EXAM
>
> Read the scope clarity and the buyer's priority. Those two clues choose the contract.

How an incentive fee works

- Cost plus incentive fee: target cost **$100,000**, target fee **$10,000**, share ratio **80/20** (buyer/seller).
- Actual cost **$90,000**: an underrun of $10,000.
- Seller's share of the saving: 20% of $10,000 = **$2,000** extra fee. Fee = **$12,000**.
- Buyer pays actual cost plus fee: $90,000 + $12,000 = **$102,000**.
- If costs overrun, the seller's fee shrinks by its share of the overrun.

> ON THE EXAM
>
> The seller's share of any saving is added to its fee; its share of any overrun is taken off.

Time and materials, carefully

- Pays agreed **rates** for time spent, plus materials at cost.
- Fast to set up; good for small, urgent or open-ended work, and staff augmentation.
- Without a cap, cost has no ceiling, and the seller has no incentive to finish quickly.
- Add a **not-to-exceed** limit, and monitor hours and deliverables closely.

> ON THE EXAM
>
> Time and materials is flexible and quick. Always cap it, and always watch it.

Selecting sellers

TECHNIQUE	PURPOSE
Weighted scoring	Score proposals against agreed, weighted criteria
Screening	Remove sellers who fail mandatory requirements
Independent estimate	Your own estimate, to test whether bids are realistic
Bidder conference	Answer all prospective sellers' questions together, fairly
Presentations and references	Test capability and past performance

ON THE EXAM

Lowest price is rarely the only criterion. Agree weighted criteria before seeing any bids.

Fairness in the selection process

- Every prospective seller receives the **same information** at the same time.
- Questions from one seller are answered formally, and the answer is **shared with all**.
- Private conversations with one bidder create an unfair advantage and a legal risk.
- Declare any **conflict of interest**, and decline gifts from bidders.

> ON THE EXAM
>
> Treat all sellers equally. A private answer to one bidder is an ethics problem, not a courtesy.

Sustainability and responsibility in procurement

- Include **sustainability criteria**: emissions, materials, waste, end-of-life.
- Check **labour and ethical standards** in the supply chain.
- Respect local procurement **regulations**, especially in the public sector.
- Criteria written into the selection and the contract are the ones that get met.

> ON THE EXAM
>
> If sustainability matters to the organisation, it belongs in the selection criteria and the contract.

Project Lantern: procurement

- **Kiosks**: bought, not built. Firm fixed price, from a clear specification, via an RFP.
- **Network engineers** for peak weeks: time and materials, with a not-to-exceed cap.
- **Booking app**: built in-house, because patient experience is core to Northgate.
- Kiosk selection criteria included energy use and a take-back scheme for old hardware.

> ON THE EXAM
>
> Buy the commodity, build the differentiator, and match each contract to its scope clarity.

Scenario signals and the move

THE SCENARIO SAYS	THE MOVE
Fully specified work, buyer wants price certainty	Firm fixed price
Uncertain scope; motivate the seller to save	Cost plus incentive fee
Target cost, fee and share ratio given	Seller's share of the variance adjusts the fee
A bidder asks a private question	Answer formally; share with all bidders
Commodity available now; not core	Buy
Exact specification; best price wanted	Request for quotation

ON THE EXAM

Scope clarity chooses the contract. Fairness governs the selection.

> A company needs a warehouse built to a complete, detailed design already approved by its architects. Planning permission is granted.
>
> The finance director insists on knowing the total cost before work begins.

Which contract type is most appropriate?

A Cost plus fixed fee

B Time and materials

C Firm fixed price

D Cost plus award fee

◆ PAUSE AND DECIDE

Which contract type is most appropriate?

A Cost plus fixed fee

Buyer carries cost risk; the total is unknown in advance.

B Time and materials

Open-ended by nature; no certainty of total cost.

C Firm fixed price

Complete design and a need for cost certainty: the classic fit.

D Cost plus award fee

Highest buyer risk, and a subjective fee on top.

THE SIGNAL

Scope fully defined, and the buyer wants certainty: firm fixed price.

A cost plus incentive fee contract has a target cost of $200,000, a target fee of $20,000, and a share ratio of 70/30 (buyer/seller).

The seller completes the work for an actual cost of $180,000.

What is the total amount the buyer pays?

A $200,000

B $206,000

C $214,000

D $220,000

◆ PAUSE AND DECIDE

What is the total amount the buyer pays?

A $200,000

The target cost. Ignores the fee entirely.

B $206,000

Underrun $20,000; seller's 30% = $6,000; fee $26,000; $180,000 + $26,000.

C $214,000

Gives the seller the buyer's 70% share of the saving.

D $220,000

Target cost plus target fee. Ignores the actual cost.

THE SIGNAL

Underrun times the seller's share, added to the target fee. Then actual cost plus that fee.

A manufacturer is commissioning research into a new battery material. The scope is uncertain, and the work may change direction as results come in.

The manufacturer accepts that it must carry the cost risk, but wants the research firm motivated to keep costs down.

Which contract type is most appropriate?

A Firm fixed price

B Time and materials with no cap

C Cost plus fixed fee

D Cost plus incentive fee

◆ PAUSE AND DECIDE

Which contract type is most appropriate?

A Firm fixed price

Scope too uncertain; sellers would refuse or add a huge premium.

B T&M with no cap

No ceiling and no incentive to be efficient.

C Cost plus fixed fee

Right family, but the fixed fee gives no reason to save.

D Cost plus incentive fee

Buyer carries the risk, and the seller shares any savings.

THE SIGNAL

Uncertain scope plus 'motivate the seller to control cost': cost plus incentive fee.

> During the bidding period for a software contract, one prospective seller emails the project manager privately with a question about a performance requirement.
>
> Proposals are due in ten days.

What should the project manager do?

A Answer through the formal channel, and share the question and answer with all prospective sellers.

B Reply privately, since the seller asked privately.

C Ignore the question to avoid favouring anyone.

D Disqualify the seller for contacting the project manager directly.

◆ PAUSE AND DECIDE

What should the project manager do?

A Formal answer, shared with all.

Equal information for every bidder, and the requirement is clarified for everyone.

B Reply privately.

Gives one bidder an advantage. Unfair and a legal risk.

C Ignore it.

The requirement may be genuinely unclear. Every bid would suffer.

D Disqualify the seller.

Disproportionate. Asking a question is not misconduct.

THE SIGNAL

One bidder's question is everyone's question. Answer formally and share with all.

> An online retailer needs card payment processing for a new store. Its developers estimate nine months to build a compliant system in-house.
>
> Several certified payment providers offer ready-made services that could be integrated in weeks. Payment processing is not a differentiator for the retailer.

What should the project manager recommend?

A Build in-house, to keep full control of the payment system.

B Buy a certified payment service, since it is available now and is not core to the business.

C Hire contractors on time and materials to build it faster.

D Postpone the decision until the store's design is complete.

◆ PAUSE AND DECIDE

What should the project manager recommend?

A Build in-house.
Nine months and compliance risk for something that does not differentiate.

B Buy the certified service.
Available, compliant, fast, and not core: a clear buy.

C Contractors on T&M.
Still building a commodity, with open-ended cost.

D Postpone.
The decision does not depend on the store's design.

THE SIGNAL

Not core, readily available, compliance already solved: buy it.

> A school trust needs five hundred laptops of a precisely defined specification, with a standard three-year warranty.
>
> It wants the best price from qualified suppliers.

Which procurement document should it issue?

A. A request for information

B. A request for proposal

C. A letter of intent

D. A request for quotation

◆ PAUSE AND DECIDE

Which procurement document should it issue?

A Request for information

For exploring the market. The need is already fully defined.

B Request for proposal

For complex solutions where sellers propose an approach. Not needed here.

C Letter of intent

Signals an intention to contract; it does not invite competitive prices.

D Request for quotation

Exactly defined need, price the deciding factor.

THE SIGNAL

Precisely defined, price matters: RFQ. Complex, approach matters: RFP.

Scope clarity chooses the contract.
Fairness governs the selection.

admin@sthithapragna.com